

checking to see if the hacker was entitled to withdraw. This flaw is known as the reentrancy bug. On June 17, 2016, a hacker drained 30 percent of the value of the contract before another group, the Robin Hood Group, drained the other 70 percent. The Robin Hood Group promised to return all the ether to the original owners. The original contract had a built-in 28-day hold period before the funds could be withdrawn, and the Ethereum community debated whether it should rewrite history by creating a hard fork, which would eliminate the hack. In the end, the group decided to go ahead with the hard fork and returned the ether to the original investors. The old protocol became Ethereum Classic (ETC), which preserved the immutable record. The DAO initiative halted in July 2016 when the SEC declared that DAO tokens were securities.

There have been many exploits like this. In April 2020, hackers exploited \$25 million from dForce's Lendf.Me lending protocol. Interestingly, the Lendf.Me code was largely copied from Compound. Indeed, the word "*Compound*" appears four times in dForce's contract. The chief executive officer of Compound remarked, "If a project doesn't have the expertise to develop its own smart contracts, . . . it's a sign that they don't have the capacity or intention to consider security."⁶

A smaller but fascinating attack occurred in February 2021. The target was Yearn.finance, a yield aggregator in which users deposit funds into pools that are allocated to other DeFi protocols to maximize the yield for the original